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CLIPPED WINGS The Supreme Court, on November 7, ordered the liquidation of Jet Airways under the IBC

CRASH LANDING

The Supreme Court's order to liquidate Jet Airways, after prolonged insolvency proceedings, brings the focus back on the actual effectiveness of IBC

BY RICHA SHARMA

► **FIVE GRUELLING YEARS** of trials and tribulations are what it took for Jet Airways' fate to be decided. The once-leading airline, which had filed for bankruptcy in 2019, got a final resolution on November 7, when the Supreme Court ordered its liquidation. But the apex court's order points fingers at the credentials of the Insolvency and Bankruptcy Code (IBC), a comprehensive law that governs insolvency and bankruptcy proceedings in the country.

The liquidation order set aside the National Company Law Appellate Tribunal's (NCLAT) order for the transfer of the cash-strapped airline's ownership to the Jalan-

Kalrock Consortium (JKC) as it failed to make even the full first tranche payment of ₹350 crore as directed by the apex court.

What went wrong in an insolvency case of this scale, involving over ₹7,800 crore of creditors' money?

Experts point at some loopholes in the IBC.

Vivek Parti, an insolvency professional, said the insolvency law has limitations. It does not deal with terms of implementation of an approved plan.

"The law for implementation should be as strong as the law for resolution. There should be a mechanism to ensure rigorous monitor-

ing for the effective implementation of resolution plans approved by the adjudicating authorities. Such monitoring of the implementation of the resolution plans becomes crucial in certain cases that demand a longer implementation period like in the case of Jet," Parti tells *Business Today*.

He further explains the recent amendments that have been introduced to the corporate insolvency process. The approved Committee of Creditors (CoC) has to provide for mandatory monitoring by an insolvency professional. The person has to be an officer of the court and provide regular status reports to the